

**Time:** 5 minutes**Outcome:** Measure Price Elasticity of Supply.**Difficulty:** ●●○ Intermediate

Price Elasticity of Supply



THE CORE IDEA

Price elasticity of supply measures the percentage response of quantity supplied to a one-percent change in price. Price Elasticity of Supply measures and interprets how quantity supplied responds to price changes, including time horizon, capacity, storage, determinants, and midpoint calculations. Storage creates another margin through which sellers can respond to price changes. Investment and capacity adjustment make long-run supply more responsive. Price elasticity of supply compares the percentage change in quantity supplied with the percentage change in the good's price.



HOW TO RECOGNIZE IT

- Look for a percentage change in quantity supplied caused by a percentage change in the good's price.
- Compute elasticity as percentage change in quantity supplied divided by percentage change in price.
- A larger elasticity means sellers respond more strongly to the price change.
- Supply is usually more elastic when firms have more time or spare capacity to adjust production.

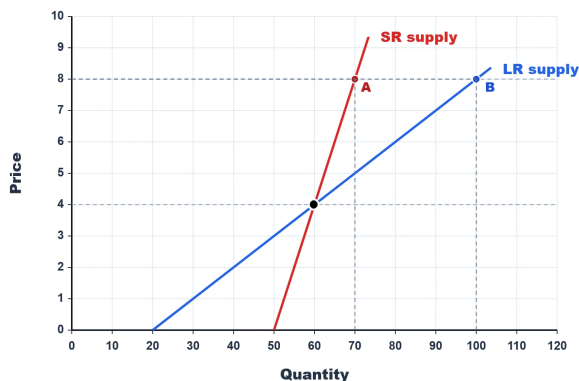


WATCH OUT

Do not confuse supply elasticity with demand shifters. Price elasticity of supply compares the percentage change in quantity supplied with the percentage change in the good's price.



WORKED EXAMPLE: SHORT-RUN VERSUS LONG-RUN SUPPLY



The price rises from \$4 to \$8. On the short-run curve, quantity rises from 60 to 70, so the midpoint quantity change is $10/65 = 15.4\%$; the midpoint price change is $4/6 = 66.7\%$. Short-run supply elasticity is $15.4\%/66.7\% = 0.23$, which is inelastic. The flatter long-run curve shows a larger quantity response.



CHECK YOURSELF

Using the midpoint method, the price of artisan bread loaves changes from \$4 to \$5 and quantity supplied changes from 900 to 1080. What is price elasticity of supply?

**READY?**

Return to the game and master this concept.